

Conflict and currency shortages remain of high concern for acute food insecurity in Yemen

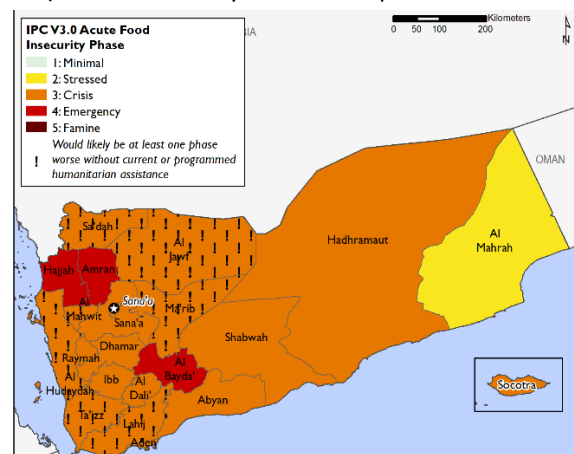
KEY MESSAGES

- Conflict and poor macroeconomic conditions continue to drive high levels of acute food insecurity in Yemen. Overall, an estimated 17 to 19 million people are expected to be in need of humanitarian food assistance throughout 2020. **Crisis (IPC Phase 3) outcomes** are widespread, with Emergency (IPC Phase 4) outcomes expected in worst-affected governorates. Although not the most likely scenario, Famine (IPC Phase 5) would be possible if food supply is cut off for a prolonged period of time.¹
- The exchange rate has continued to depreciate in southern areas, reaching 820 YER/USD by the second week of September. In northern areas, the exchange rate continued to remain stable, at levels just over 600 YER/USD. According to FAO data, August terms-of-trade between wheat flour and wages (casual labor and agricultural labor) were worst in Amran, Hajjah, Dhamar, and Raymah. Terms of trade deteriorated the most between July and August in Al Hudaydah, Al Mahrah, and Abyan.
- Despite some evidence of recovery of formal remittances from Gulf countries, key informants report that levels of remittances into Yemen remain below average and below COVID-19 outbreak levels. Despite some improvement in access to income in urban areas as COVID-19 control measures were eased, reduced income from salary payments and remittances alongside high food prices and reductions to humanitarian assistance are contributing to restricted food access.

CURRENT SITUATION

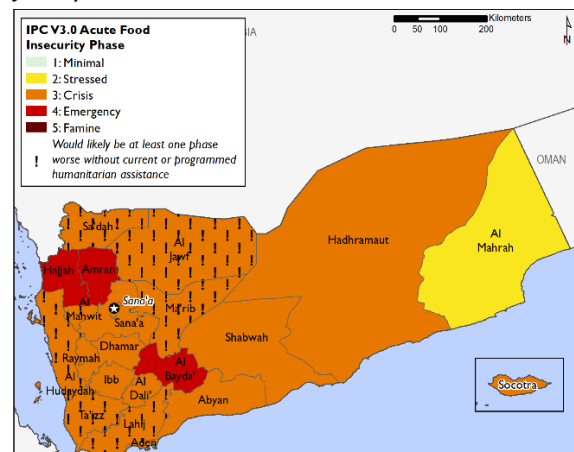
According to [WFP reporting](#), 5.76 million beneficiaries were reached with humanitarian food assistance in the July distribution cycle out of a total 5.9 million targeted. These figures represent decreases of more than two million compared to previous months, with reductions **attributed mainly to** delays due to COVID-19 quarantine at ports and security in Abyan and Ma'rib. According to FSAC reports, this likely impacted Al Mahrah, and parts of Ma'rib, Abyan, Shabwah, and Hadhramaut, where assistance was not distributed in the July cycle. Meanwhile, in Houthi-controlled areas of Sa'dah, Amran, Sana'a, Al Mahwit, Al Hudaydah, Raymah, Ibb, and Al Bayda, assistance was not distributed as part of the July cycle in accordance with the reduction in

Projected food security outcomes, September 2020



Source: FEWS NET

Projected food security outcomes, October 2020 to January 2021



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

¹ Defined as six months or more.

distributions from monthly to every two months. However, some of these areas may have received distributions in July as part of the June distribution cycle, which was not concluded until July 30.

In the first half of September, the exchange rate continued to depreciate in southern areas while remaining stable in northern areas according to the [Cash Consortium of Yemen](#). In southern areas, the exchange rate depreciated 4 percent from the monthly average exchange rate in August, reaching 820 YER/USD in southern areas by the second week of September. In northern areas, the exchange rate remained stable at levels just over 600 YER/USD. However, according to FAO data through August, the exchange rate in the northern governorate of Ma'rib has been depreciating, by 4 percent between July and August.

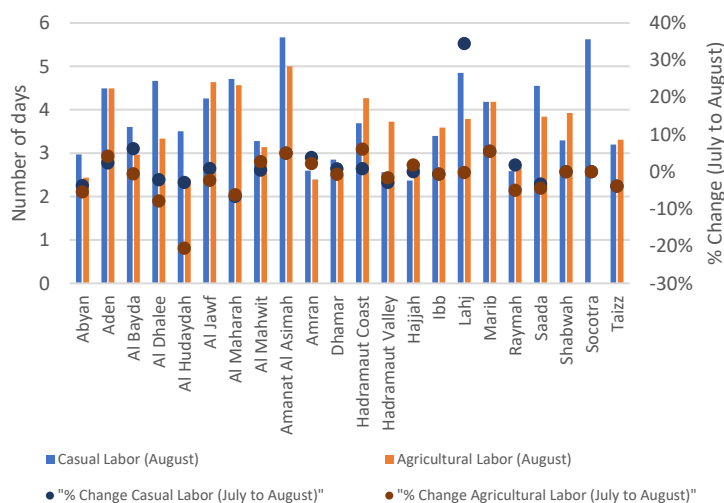
According to FAO market monitoring data through August, the cost of the minimum food basket (MFB) remained fairly stable at the national level between July and August, increasing by just over 1 percent to reach 43,000 YER in August. However, trends differed across governorates, with the greatest increases (4-5.3 percent) in the cost of the MFB recorded in Al Mahrah, Ma'rib, Socotra, Hadramaut Valley, and Al Jawf. In August, the cost of the MFB was 27 percent higher in southern governorates compared to northern governorates, on average, driven mostly by the exchange rates. Overall, the average cost of the MFB was highest in Socotra (56,000 YER), followed by Lahij (52,700 YER), Aden (50,850 YER), Ta'izz (50,555 YER), and Shabwah (49,950 YER).

At the national level, on average, one day's wages for casual labor in August earned enough to buy wheat flour equivalent to 3.8 days' worth of total caloric needs of a household of seven,² though it is understood that households are consuming somewhat more diverse diets, and the cost of other foods (such as oil and pulses) per kilocalorie is higher. One day's wages for agricultural labor

earned enough to buy wheat flour equivalent to 3.5 days' worth of caloric needs. At the governorate level, these terms-of-trade in August (for both casual labor and agricultural labor), were worst in Amran, Hajjah, Dhamar, and Raymah, where a day's wages in August earned enough to buy wheat flour equivalent to 2.3-2.9 days' worth of caloric needs (Figure 1). Between July and August, the terms of trade worsened the most in Al Hudaydah, Al Mahrah, and Abyan, and Al Dali'.

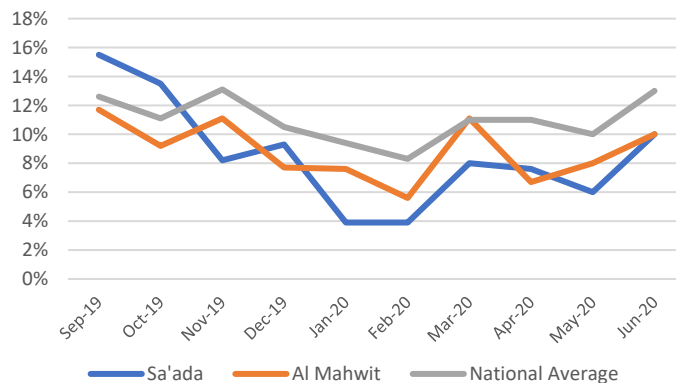
Ongoing fuel shortages in Yemen continue to contribute to upward pressure on food prices due to increased costs of transportation, food processing, and water pumping for irrigation. Between July and August, the greatest increases in the price of diesel occurred in Socotra (25 percent), Aden (19 percent), Al Mahrah (17 percent), Shabwah (15 percent), Al Dali' (12 percent) and Amran (11 percent) according to FAO data.

Figure 1. Terms of trade between wheat flour and labor wages (casual labor and agricultural labor) measured in terms of days' worth of wheat flour (kg) equivalent to a household of seven's caloric needs purchasable from one day's wages, by governorate, in August 2020, and percent change between July to August



Source: FAO

Figure 2. Trends in prevalence of "poor" food consumption as measured by food consumption score (FCS) in surveyed districts (Sa'ada, Al Mahwit, and national average)



Source: WFP mVAM

² For a household of seven members, approximately 4 kg of wheat flour is equivalent to that household's daily caloric needs, assuming an average of 2,100 kcal per person per day.

Due to the impacts of protracted conflict which has eroded livelihoods, driven deterioration in the economic environment, and significantly increased prices of food and non-food commodities, Crisis (IPC Phase 3) outcomes are widespread in Yemen, with Emergency (IPC Phase 4) outcomes likely in Hajjah, Amran, and Al Bayda. Despite previous expectations that Sa'dah and Al Mahwit would also be facing Emergency (IPC Phase 4) outcomes by late 2020, available data and evidence from key informants suggest that these areas are most likely to be in Crisis! (IPC Phase 3!). In these areas, available evidence indicates that labor opportunities, remittances, and humanitarian assistance are relatively more available than in surrounding areas.

In these areas and particularly in Sa'dah, trends in indicators as measured by WFP mVAM mobile phone surveys³ have shown improvement relative to levels in late 2019 (Figure 2). Furthermore, according to FAO data, terms of trade are relatively favorable for both casual and agricultural laborers in Sa'dah compared to other neighboring northern governorates. However, some populations are likely to be in Emergency (IPC Phase 4), particularly in conflict-affected and hard-to-access areas.

UPDATED ASSUMPTIONS

The assumptions used to develop FEWS NET's most likely scenario for the period of June 2020 to January 2021 remain unchanged. However, in Sa'dah and Al Mahwit, labor opportunities, remittances, and humanitarian assistance are expected to continue to be relatively more available than in surrounding areas.

PROJECTED OUTLOOK THROUGH JANUARY 2021

Throughout the scenario period, access to income is expected to improve for some households due to relaxation of COVID-19 control measures in urban areas and some improvement in remittances. However, access to income is expected to remain significantly below average overall and further reduce for households dependent on government salary payments or income sources that depend on fuel. In northern Houthi-controlled areas where beneficiaries of humanitarian assistance are expected to continue receiving reduced levels of assistance, access to food is expected to remain lower than in early 2020. Particularly in southern areas, household food access may be increasingly constrained by rising food prices as the currency continues to depreciate. Recent information from FAO suggests wages are increasing due to inflation in some areas, though information is currently insufficient/unavailable to confirm whether and the extent to which wages will be able to keep pace with staple food prices and rising cost of living in some areas. Though some seasonal improvement in availability of food and income is expected in localized areas during harvest times, improvements are expected to be temporary as food from own production is not expected to last beyond a few months in most cases.

As a result, most areas of western Yemen are expected to be in Crisis (IPC Phase 3) or Crisis! (IPC Phase 3!) throughout the projection period, with Emergency (IPC Phase 4) outcomes expected in Amran, Hajjah, and Al Bayda, where available information and data suggest that a relatively higher proportion of the population is facing Emergency (IPC Phase 4) outcomes, and where availability of income-earning opportunities and purchasing power are likely lower. Through January 2021, approximately 17–19 million people are expected to need humanitarian assistance to prevent consumption gaps and protect livelihoods.

In a worst-case scenario, significant declines in commercial imports or conflict that cuts off food supply for a prolonged period of time could lead to food security outcomes in line with Famine (IPC Phase 5). Given that this significant and prolonged disruption is not expected during the projection period, Famine (IPC Phase 5) is not the most likely scenario. However, even in the absence of a sudden shock, the food security situation in Yemen is progressively deteriorating, raising the risk that Famine (IPC Phase 5) could occur if there is a more significant and sustained disruption to imports.

³ It is important to note that mVAM surveys are not representative, due to the sampling of only certain districts within a governorate, as well as due to sampling only those who have cell phones. Generally, those with cell phones may be expected to be better off than those without. As a result, trends over time are more reliable than absolute values of indicators.

Events that Might Change the Outlook

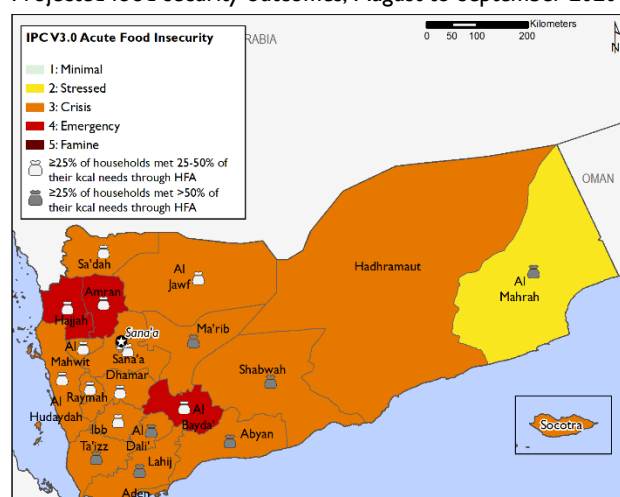
Possible events that could change the most-likely scenario through January 2021:

Area	Event	Impact on food security outcomes
National	Major parties to conflict achieve a lasting ceasefire that improves security and facilitates normalization of livelihood and economic activities	Food access for many households would begin to improve as prices of staple food commodities decline, household access to food and income begins to return to normal, and IDPs begin to return to their areas of origin. Notably, likely inflows of assistance to previously inaccessible areas would improve food security outcomes among worst-affected households. However, additional time would be required before the economy fully stabilizes and major government functions and livelihood activities are able to resume in full.
National	Yemen receives another large injection of hard currency, similar to the 2 billion USD provided by Saudi Arabia in 2018	The exchange rate would be expected to stabilize, with food imports likely to return to previously observed levels. While food prices would not be expected to return to previous levels, further price increases would be moderated. As a result, purchasing power would still be expected to remain reduced for most poor households in areas where price increases have occurred.
National	Food import levels fall dramatically	Food prices would quickly rise and, if prolonged, food availability on local markets would decline. Food security outcomes would worsen, with deterioration to Famine (IPC Phase 5) possible in a worst-case scenario if food supply is cut off from particular areas for a prolonged period.
National, but especially northern areas	Significant limitation or inability of humanitarian actors to deliver assistance as planned	If significant delays in the delivery of humanitarian assistance in northern Houthi-controlled areas (such that deliveries occur more infrequently than every other month) result in further effective reductions in food assistance—or if changing patterns of conflict, weather shocks, or COVID-19 related movement restrictions significantly disrupt assistance supply chains and humanitarian access—access to food would be further reduced and deterioration would be more rapid.

MOST LIKELY FOOD SECURITY OUTCOMES AND AREAS RECEIVING SIGNIFICANT LEVELS OF HUMANITARIAN ASSISTANCE*

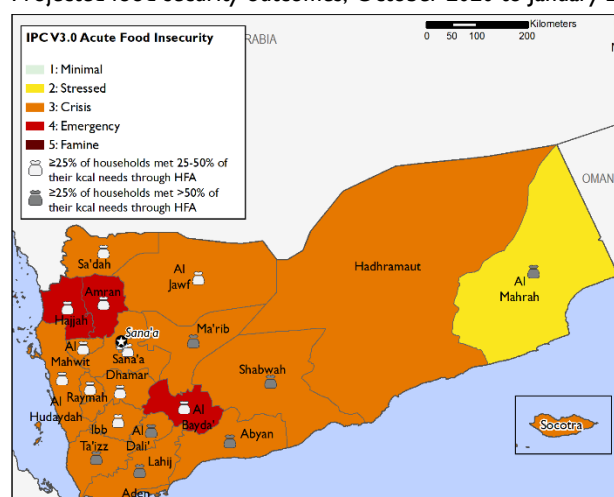
Each of these maps adheres to IPC v3.0 humanitarian assistance mapping protocols and flags where significant levels of humanitarian assistance are being/are expected to be provided. 🏠 indicates that at least 25 percent of households receive on average 25–50 percent of caloric needs from humanitarian food assistance (HFA). 🏠 indicates that at least 25 percent of households receive on average over 50 percent of caloric needs through HFA. This mapping protocol differs from the (!) protocol used in the maps at the top of the report. The use of (!) indicates areas that would likely be at least one phase worse in the absence of current or programmed humanitarian assistance.

Projected food security outcomes, August to September 2020



Source: FEWS NET

Projected food security outcomes, October 2020 to January 2021



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

ABOUT THIS UPDATE

This report covers current conditions as well as changes to the projected outlook for food insecurity in this country. It updates the FEWS NET's Food Security Outlook, which is published three times per year. Learn more about our work [here](#).